3.3.4 Product life cycle and new products

Unit 3.3 Marketing management · 8 key points

- **Product life cycle stages:** development, introduction, growth, maturity, decline
- **Introduction:** low sales, high promotion costs, often a loss
- **Growth:** sales rise quickly; rivals enter
- **Maturity:** sales level off; profits often highest
- **Decline:** sales fall
- **Extension strategies:** new uses, new markets, relaunch, new features, price changes
- **New product development:** idea → screening → development → test marketing → launch
- **Trap:** the life cycle shows sales, not profit